

TDUP pitch deck

The court is complete (red REJECT 8/10, blue SUSTAINED 7/10 with three findings trimmed), so this deck is a no-entry deck: it documents the kill, the bench errors, and the reopen conditions. Here it is in full.

PITCH — TDUP — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): DO NOT BUY — stay flat at \$3.21; the “78× overreaction” story dissolved under audit; revisit only on the Q3 print (rev $\geq$ \$89M with gross margin $\geq$ 79.5%) or a fall to ~\$2.00–2.15

What we believe

ThredUp’s crash — from \$6.28 to \$3.21 on the August 5 second-quarter report, on top of an earlier slide from a \$12.28 high — looks at first like a massive overreaction: roughly \$400M+ of market value erased over a guidance cut of only \$5.3M in expected operating profit (the benches called this “~78× the fundamental revision”). **Our own adversarial review killed that story.** The profit being cut was never real economic profit. The company’s full-year “adjusted EBITDA” guide of about \$16.3M (4.7% of ~\$346M revenue) is *smaller than its own stock-compensation expense*, which is running at roughly \$23M a year (\$11.4M in the first half alone). Strip that adjustment away and the business loses money even in its best quarter on record (a \$5.9M GAAP net loss in Q2, -6.5% of revenue), while the share count grows ~7% a year to pay employees. The market didn’t misprice a \$5M line item; it correctly repriced a business whose profitability was an accounting definition, the moment its growth halved and management admitted the demand was bought with discounts. We recommend no position.

What the market believes

The market now prices TDUP at about \$3.21 — 5.6% above its 52-week low, down 74% from its high — which works out to roughly \$382M of enterprise value (net of \$57.4M cash and \$17.7M term debt, excluding store/warehouse leases), or about 1.1× this year’s guided revenue and ~24× guided adjusted EBITDA. The consensus story behind the crash: revenue beat in Q2 (+17%, orders +22%), but management cut second-half profit guidance by ~25%, blaming a \$7M promotion headwind to clear aged inventory, and revenue-per-order fell 4.2% — meaning the growth was purchased with discounts. Sell-side price targets of \$6.00–6.50 still exist, so the market is not treating this as a zero; it is treating it as a decelerating, promotionally-dependent marketplace that no longer deserves a growth multiple.

Why we might have edge

Honestly: the court concluded we mostly don't, and the deck should say so. The candidate edges, and what survived:

- **“Fresh dislocation” edge — did not survive.** The one-day halving looks like panic, but both benches confirmed the cut and the beat share a single cause (promotional dependence, in management's own words on the call), so the beat cannot be used as evidence that demand is intact.
- **Balance-sheet resilience — survived, but it only bounds the downside.** The company holds ~\$35M more cash than debt (excluding leases) and generated +\$2.4M of free cash flow in the first half. There is no financing cliff and no forced-seller dynamic. This makes TDUP a candidate to *watch*, not to own.
- **Clean insiders — survived.** What looked like a pre-crash insider selling cluster was fully resolved by reading the actual filings: mandated sell-to-cover tax sales and director stock grants taken *in lieu of cash pay*, zero discretionary sales. Mildly reassuring.
- **The real potential edge is future, not current:** if fourth-quarter gross margin recovers after the inventory clearance, the “one-off promo” story beats the “structural discounting” story, and the stock is cheap. That is a re-court trigger, not a reason to buy today.

Why it might be priced in

- The pre-crash price of \$6.28 was already down 49% from the 52-week high — the growth story had been exiting for a year (though our red bench overstated this; see the table).
- Sell-side coverage exists with \$6.00–6.50 targets, so this is not an orphaned, unexamined name where mispricing hides.
- At ~1.1× revenue, the stock is *not obviously below* where it traded in its 2022–23 no-growth period — the blue bench found from public record that it likely traded *below* 1× revenue back then, meaning today's multiple may still be above the historical trough. (Flagged UNVERIFIED — see below.)
- Most fundamentally: with adjusted EBITDA below stock-comp expense and a persistent GAAP loss, there is no positive earnings power for the market to have mispriced. “Cheap versus a definitional profit” is not cheap.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$400M+ of value erased over a \$5.3M guidance cut = 78× overreaction”	Both benches independently re-pulled the Aug-5 8-K (accession 0001484778-26-000024) and recomputed	FY26 adj-EBITDA guide ~\$16.3M is below the ~\$23M/yr stock-comp run-rate; Q2 GAAP loss –\$5.9M in the record quarter. The “profit” being revised was definitional, not economic	YES — arithmetic verified twice; this is the load-bearing kill

Claim	How checked	Found	Confirmed?
Capital structure / bankruptcy risk	8-K balance sheet	\$57.4M cash, only \$17.7M term debt (\$32.9M is leases), H1 free cash flow +\$2.4M, self-funding	YES — pro-company; bounds the tail, doesn’t rescue the valuation
“Demand is intact — orders grew 22%”	8-K + Q2 earnings call transcript	Revenue-per-order fell 4.2%; management said conversion needed “incrementally promotional” pricing. Beat and cut share one cause	YES — the bullish reading is refuted
Dilution treadmill as a <i>separate</i> charge (~7%/yr per-share bleed)	Blue bench arithmetic audit	Red bench error: counting stock-comp against enterprise profit AND again as per-share dilution counts the same compensation twice. Dropped from sizing; the kill stands on the first count alone	Error caught and corrected
“Q3 margin guide-down proves damage is accelerating”	Blue bench logic audit	Red bench error: clearing aged inventory via promotion <i>predicts</i> Q3 margin compression under either story. Q3 gross margin cannot distinguish one-off from structural; Q4/Q1-27 recovery can	Error caught; test re-dated
Insider selling cluster before the crash	Actual Form 144s and Form 4s read	Red bench flag overturned: June sales were mandated sell-to-cover (footnoted non-discretionary); all five July Form 4s were director grants in lieu of cash retainer, no sales	YES — clean
“The tape had been exiting for a year”	26-week-high check against the pack	Red bench overstatement: pre-crash price was only ~11% below the 26-week high — the stock was re-warming into the print; the halving was a fresh repricing	Partially corrected
Current 1.1× revenue is already at the historical trough	Public record of 2022–23 trading range	Likely NOT at trough (2022–23 implied below 1× revenue) — but no price-history bars were actually pulled	NO — plausible, UNVERIFIED
Live tape / short interest / crowding	IBKR and desk quote cache	Both permission-denied for both benches this session; the machine-built evidence pack (Aug 9) is the price basis	NO — coverage gap, both benches
Tariff/de-minimis effects lapping in the new-buyer comp (+72% → +13%)	No tool available to either bench	Untested; correctly excluded from the verdict	NO — open question

Primary source of record: the August 5, 2026 8-K, accession 0001484778-26-000024 (direct sec.gov fetch failed this session; verified via the [StockTitan reproduction](#); sec.gov index: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001484778&type=8-K>). Call detail from the [Q2-26 transcript](#).

PROPOSED ENTRY BANDS

The court’s verdict is no-entry. These are the reopen bands, from the benches’ own math:

- **No buy at \$3.21.** No averaging-in, no “small starter.” The kill is arithmetic (adjusted EBITDA < stock comp), not sentiment, and it does not improve with a lower price alone.
- **Reopen band 1 — fundamentals (the main one):** the Q3 print, estimated 2026-11-02 (unconfirmed). Reopen the case only if revenue lands $\geq \$89\text{M}$ and gross margin lands $\geq 79.5\%$ (i.e., above the 78.0–79.0% guide, showing the promo hit was contained). A beat achieved with further margin erosion does NOT reopen — that confirms the bear. The truly discriminating margin test is Q4 and Q1-2027 gross-margin *recovery* after the clearance window closes.
- **Reopen band 2 — price:** below $\sim \$2.15$, the stock reaches $\sim 0.7\times$ guided revenue ($\sim \$242\text{M}$ enterprise value on $\$346\text{M}$ revenue, using 131.3M shares and $\sim \$40\text{M}$ net cash) — entering the territory where the 2022–23 no-growth regime plausibly traded. A break of the 52-week low at **\$3.04** is a mechanical look-again trigger, not a buy. Before acting on either, someone must actually pull the 2022–23 price bars and verify the trough multiple — neither bench did.
- **Reopen band 3 — data:** independent evidence that discounting is *declining* while orders hold (site promotion-intensity tracking, app-ranking/traffic panels). These monitors do not exist yet — see below.
- **Sizing if reopened:** any future position starts at scout size ($\leq 0.5\%$ of book) and only after a fresh court, because the dilution ($\sim 7\%$ /yr share growth) and the stock-comp inversion must have visibly narrowed, not just the price.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.15 (deck-provisional: $\sim 0.7\times$ guided FY26 revenue (EV $\sim \$242\text{M}$) — plausible 2022-23 no-growth trough band, trough itself unverif)
- filing watch: 8-K,10-Q until 2027-02-05 (deck-provisional: Q3 print test: reopen only if revenue $\geq \$89\text{M}$ AND gross margin $\geq 79.5\%$; Q4/Q1-27 GM recovery is the o)
- dated pack TDUP|2026-11-02: TDUP: Q3-26 earnings (vendor-derived date, no company PR confirms) (date confirmed=False)

What remains unverified

- **The 2022–23 trough multiple.** Blue’s claim that the no-growth era traded below $1\times$ revenue is from public recollection of the price range, not from actual price bars — both benches were locked out of market data (IBKR and the quote cache permission-denied). This is the single fact that most affects the $\$2.15$ reopen band.
- **Live tape, short interest, and crowding.** Never checked; the Aug-9 machine-built pack is the only price basis in this file.
- **Tariff/de-minimis lapping** inside the new-buyer deceleration ($+72\% \rightarrow +13\%$): plausible alternative driver, no tool ran, silence in the filings is not refutation.

- **Seasonality in the new-buyer comp** — mandated for deceleration claims, run by neither bench.
- **The next-print date** (2026-11-02) — derived from a data vendor, not from any company announcement.

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